Amazon.com, Inc.

AMZN NASDAQ

Buy	$259.56 ▼ 2.43%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.81T

AMZN: AWS Margin Jitters Mask Bigger AI Story

WHAT HAPPENED

- Stock pulled back 2.4% today after a huge 6% rip yesterday — classic "digest the gains" move, not a fundamental break. The headline driver is a GuruFocus piece flagging "AWS profitability in focus," meaning investors are nervous that Amazon's cloud division is spending so heavily on AI chips and data centers that margins might compress near-term.
- The Uber Eats partnership is a sneaky-big deal — Amazon is basically renting Uber's restaurant network instead of building it, which is a capital-light way to make Prime stickier against Walmart+ and DoorDash's DashPass.

WHY IT MATTERS

Here's what today's dip is really telling you: the market is wrestling with the same question it's asking every hyperscaler — is the massive AI capex (think $100B+ a year across Amazon, Microsoft, Google) going to actually earn its cost of capital? The unusual put buying at the $260 strike (31,765 contracts, 8.5x normal open interest — meaning somebody big is betting on more downside near-term) suggests a hedge fund is positioning for a short-term pullback, not a long-term collapse. The Anthropic IPO chatter is a quiet positive — Amazon owns a huge stake (~$8B invested), and if Anthropic goes public at a $300-400B valuation, that's a hidden asset nobody's really marking on Amazon's balance sheet yet. Bigger picture: with institutional ownership at 68.8% and Blackrock/Vanguard holding firm, this is a stock the smart money isn't selling — they're just trimming.

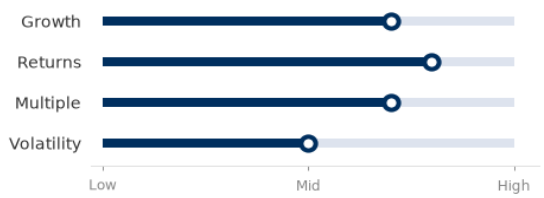
POLICY & POLITICAL WATCH

The FTC antitrust case against Amazon is the single biggest overhang, but under the current administration the regulatory posture has softened noticeably — settlement talk is more plausible than a breakup, which would be a massive de-risking event. Watch the pending AI export control rules out of Commerce: if the US tightens chip exports to China further, AWS benefits (more global customers forced onto US clouds) but Amazon's retail sourcing takes a hit via higher tariffs on Chinese goods. Also keep an eye on Section 230 reform chatter in Congress — any marketplace liability expansion would hit Amazon's third-party seller business (60% of units sold) directly.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$259.56**
12M Price Target	**$310.00**
Upside / (Downside)	**+19.4%**
Market Cap	**$2.81T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.40**
Fwd P/E	**37.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$280.00**	$268.00	**$245.00**
6 Months	**$310.00**	$285.00	**$230.00**
1 Year	**$340.00**	$310.00	**$220.00**
2 Years	**$400.00**	$350.00	**$240.00**
5 Years	**$550.00**	$450.00	**$280.00**
10 Years	**$900.00**	$650.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Comm Services are quietly leading on a 5-day basis (+3.9% and +3.3%) — classic "late-cycle rotation" where money moves to earnings durability as rate cut hopes get pushed out.

COOLING OFF: Energy is getting crushed (-8.7% on the week) on softening oil prices and demand concerns, and Healthcare is lagging on drug pricing noise from Washington.

ROTATION WATCH: Money is rotating OUT of pure cyclicals (energy, real estate) and INTO quality/cash-flow mega-caps — Amazon fits that bucket, which is why the longer-term setup is fine even if today was ugly.

RELATED PLAY: If you believe the AWS/AI story, the second-order winners are data center REITs (EQIX, DLR) and power infrastructure (VST, CEG) — Amazon alone is going to consume absurd amounts of electricity over the next 5 years.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning the enterprise AI narrative with Copilot adoption and OpenAI partnership — their cloud margins aren't being questioned the way Amazon's are right now
- WMT (Walmart): Taking share in grocery and lower-income consumer, plus their ad business is growing 25%+ — direct competitive pressure on Amazon's retail

AMZN CONTEXT: Amazon is middling in the mega-cap pack right now — not leading like MSFT/NVDA, not lagging like AAPL. That's actually a setup for outperformance into year-end if AWS delivers a clean Q4 print, because expectations have been reset lower by today's "margin focus" narrative.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 5-7% of portfolio (core holding)

Entry Points: $250-255 on pullbacks, add aggressively under $240

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth drops below 15% YoY or FTC antitrust case forces structural breakup

Hedging: Buy Dec $250 puts or pair with short QQQ for mega-cap tech exposure trim

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